

CHAPTER 11: Various types of Investment and making your Portfolio

This chapter cover various types investment available in India.

Various types of Investment

Mutual fund and sip

A Systematic Investment Plan (SIP) is a vehicle offered by mutual funds to help investors save regularly. It is just like a recurring deposit with the post office or bank where you put in a small amount every month, except the amount is invested in a mutual fund. The minimum amount to be invested can be as small as INR100 (100 Indian Rupees) and the frequency of investment is usually monthly or quarterly

A SIP means the person commits to investing a fixed amount every month. Let's say it is INR1,000. When the Market price of shares fall, the investor benefits by purchasing more units; and is protected by purchasing less when the price rises. Thus the average cost of units is always closer to the lower end.) { NAV : Net Asset Value, or the price of one unit of a fund. Can be computed as follows : $NAV = \frac{\text{market value of all the investments in the}}{\text{Number of units}}$